

TIER ONE INSURANCE COMPANY

PRODUCER'S AGREEMENT

Tier One Insurance Company, a Nebraska corporation engaged in the business of underwriting and selling certain insurance policies in the United States of America ("Tier One"), and the undersigned ("Producer"), in consideration of their obligations in this Agreement and intending to be legally bound, agree as follows:

1. Appointment and Responsibilities of Producer.

1.1 Appointment. Subject to the terms of this Agreement and from and after the date of this Agreement, Tier One engages Producer to solicit applications for insurance policies offered for sale by Tier One (the "Policies") in the Territory (as defined in Section 5.2), and to service the Policies in the Territory to the extent specifically authorized. Producer acknowledges that this Agreement does not confer on Producer exclusive rights in any Territory. Producer also acknowledges that he has been recruited and engaged by a General Agent (the "Recruiting GA") who has an agreement with Tier One and who must execute this Agreement. Tier One will honor that part of any valid, legal and executed written agreement between Producer and Recruiting GA establishing the terms and conditions of their business relationship, a copy of which is provided to Tier One.

1.2 Nature of Relationship. Producer agrees that he shall be an independent contractor of Tier One, and hereby agrees to comply with all laws and regulations applicable to him as an independent contractor. Nothing in this Agreement shall be construed or deemed to create a relationship of employer or employee, partnership, joint venture, principal or agent, nor shall this Agreement be construed in any proceeding or for any purpose whatsoever so as to make one party liable to a third person for the debts, faults or actions of the other. Producer is hereby advised that as an independent contractor, Producer has certain responsibilities under the federal tax laws, including, but not limited to, paying any federal income taxes due with respect to commissions, expenses, stock bonus, or any form of compensation whatsoever in connection with the services performed and expenses incurred by Producer pursuant to this Producer's Agreement.

1.3 Sole Agreement. Tier One shall have no responsibility to Producer except as set forth in this Agreement, as the same may be modified or amended from time to time.

1.4 Responsibilities of Producer. In general, the duties of Producer shall be to: (a) maintain all necessary licenses required for him to act under this Agreement; (b) use his best efforts to solicit applications for and service the Policies; (c) pay all expenses incurred by Producer in the performance of his duties under this Agreement; (d) use only promotional material approved, in writing, by the Compliance

1.5 Division of Tier One; (a) ensure that applications for the Policies he submits to Tier One are completed accurately before submission and make full and accurate disclosure to Tier One of all facts of which Producer is aware that might affect Tier One's decision as to underwriting of the risk; (b) forward all applications for the Policies to Tier One promptly; and (c) comply fully with all applicable federal, state and local insurance and other laws, regulations and ordinances. Producer shall familiarize himself with all applicable rules and procedures of Tier One and abide by these rules and procedures. Tier One may incorporate some or all of these rules and procedures in one or more reference documents such as a procedures manual. The terms of such documents, and any amendments or supplements thereto (provided a copy has been furnished to Producer by Tier One), shall be deemed incorporated by reference into this Agreement, except that in the event of any conflict between the terms of such documents and this Agreement, the terms of this Agreement shall control. The parties acknowledge that any such rules and procedures are not intended to limit Producer's free exercise of his business judgment as to the persons from whom he will solicit applications and the time and place of such solicitation, but rather are intended to ensure that Policy applications submitted by Producer conform to Tier One's methods of conducting its business. Producer agrees that the terms and conditions of this Agreement and any documents incorporated by reference shall be confidential between Producer and Tier One.

1.6 Limits of Authority. Producer shall not: (a) waive, alter or change any provision or condition of any of the Policies, Policy applications or related literature, or bind coverage or interpret or construe policy language;

(b) modify or extend the amount of time for the payment of any premium; (c) receive any premiums or money due Tier One except as specifically authorized in writing by a Tier One officer and only to the extent permitted by Tier One collection practices; (d) enter into any contract or incur any expense or obligation in the name of Tier One; (e) publish, or cause to be published or printed, anything concerning Tier One's business; (f) advertise Tier One's services, without Tier One's prior written approval (including, among other things, conducting mass marketing or direct mail programs); and (g) use Tier One's name, trade names, trademarks or logos in connection with his business without the prior written approval of Tier One. All business records maintained by Producer relating to his Tier One-related business are subject to inspection at any reasonable time by Tier One's authorized representatives.

1.7 Tier One Monies and Lien for Producer Obligations. Subject to Section 1.6(c), Producer shall hold any funds or instruments he receives or collects for or on behalf of Tier One in a fiduciary capacity for Tier One. Any indebtedness owed by Producer to Tier One shall be secured by a first lien on all commissions due, to become due or held by Producer, and Producer agrees to cooperate with Tier One to further perfect said lien to the extent necessary and requested by Tier One. Tier One at any time may offset against all commissions accrued or to accrue to Producer any indebtedness of Producer due Tier One (including, without limitation, indebtedness resulting from advancements and chargebacks) arising in connection with Producer's responsibilities under this or any previous agreement with Tier One or its affiliates.

1.8 Duties of Tier One. Tier One shall provide Producer with standard promotional material to be used in the sale and service of the Policies. Tier One shall consider, and then approve or reject, each Policy application submitted by Producer. Tier One shall have sole authority for prescribing rules and making decisions regarding the eligibility of applicants for the Policies. Tier One shall be responsible for (a) issuance of all Policies, certificates and endorsements with respect to the Policies issued by Tier One hereunder, (b) the handling of all claims on Policies issued hereunder, and (c) Tier One's compliance with applicable state law; and (d) procuring, and the cost of, agent appointments.

2. Compensation of Producer.

Tier One shall have no obligation to Producer for commissions, expenses, stock bonus, or any form of compensation whatsoever, or for the payment thereof, in connection with the services performed and expenses incurred by Producer pursuant to this Producer's Agreement. Producer represents that he or she has made an arrangement with the Recruiting GA that has agreed to compensate Producer for such services and expenses and covenants that no claim will be against Tier One for compensation for such services and expenses. Producer may be eligible to participate in certain sales contests offered by Tier One Headquarters subject to the terms and conditions as prescribed by Tier One from time to time. If Producer desires not to participate in such sales contests then Tier One should be given written notification in advance.

3. Termination.

- (a) *By Either Party Upon Notice.* Either Tier One or Producer may terminate this Agreement at any time without cause or reason by giving the other party 30 days' prior written notice or such longer notice as may be required by applicable state law.
- (b) *By Tier One for Just Cause.* Tier One may terminate this Agreement immediately, without notice to Producer, for just cause. A termination shall be deemed "for just cause" if Producer: (a) breaches any provision of this Agreement, including, but not limited to, the provisions of Sections 4 and 5; (b) violates any insurance law or regulation where the violation could have an adverse effect on Tier One; (c) withholds or converts Tier One property; or (d) commits any willful or dishonest act that could have an adverse effect on Tier One. The failure of Tier One to exercise any of its rights under this Section 3(b) shall not preclude it from invoking these rights in the future based on the same or other circumstances.
- (c) *Upon Termination of Recruiting GA.* In the event that (a) the Recruiting GA's agreement with Tier One is terminated by either the Recruiting GA or Tier One for any reason, or (b) Producer's engagement by the Recruiting GA is terminated by either the Recruiting GA or the Producer for any reason, this Agreement shall automatically and without further action by Tier One terminate

effective as of the date of such event. In such event, Tier One shall have no obligation to notify Producer or Recruiting GA.

4. Confidentiality; Trademarks; Return of Materials.

4.1 Confidentiality. Producer acknowledges that Tier One has a proprietary interest in, as well as the exclusive claim to the benefit of, the association of its agents and personnel and its business with the policyholders with whom such agents and personnel interact, including the opportunities, information and goodwill pertaining thereto, as developed over time based on the distinctive principles and investment of Tier One. Producer shall maintain in strict confidence, and shall not use or disclose except as required to perform his duties for Tier One, all Trade Secrets and Confidential Information of Tier One. This obligation shall apply (a) at all times during the term of this Agreement, (b) for Trade Secrets at all times after this Agreement is terminated for so long as the pertinent information or data remain Trade Secrets, and (c) for Confidential Information for a period of three years after the termination of this Agreement. This obligation shall apply whether or not the Trade Secrets and Confidential Information are in written or tangible form.

For purposes of this Agreement, a Trade Secret is defined as any information, including, but not limited to, technical or nontechnical data, a formula, a pattern, a compilation, a program, a device, a method, a technique, a drawing, a process, financial data, financial plans, product plans, or a list of actual or potential customers or suppliers that: derives economic value, actual or potential, from not being generally known to, and not being readily ascertainable by proper means by, other persons who can obtain economic value from its disclosure or use; and (b) is the subject of efforts that are reasonable under the circumstances to maintain its secrecy (the parties acknowledging that Producer is itself responsible for implementing and enforcing such efforts). "Confidential Information" is defined as any information that may not be considered a Trade Secret but that is confidential and valuable to Tier One's business. Without limiting the generality of the foregoing, Producer acknowledges that information regarding payroll deduction accounts, names and addresses of any of Tier One's policyholders, sales personnel, account or premium invoices, payroll account servicing documents, claimant data including payment sheets or letters, training and educational manuals, administrative manuals, policy expiration data and prospective policyholder leads developed by Tier One (e.g., "lead cards"), in whatever form, whether or not computer or electronically accessible "on-line," is Confidential Information to the extent not Trade Secrets. Trade Secrets and Confidential Information do not include public information or information possessed by Producer independently of Producer's activities with or on behalf of Tier One. To the extent consistent with the foregoing, Producer is authorized to provide Tier One claimant data to another insurance company for the sole purpose of the other insurance company's analyzing the risks and underwriting the sale to Tier One policyholders of insurance products of that other insurance company that are not similar to policies sold by Tier One, provided that prior to release of this claimant data, the other insurance company provides Tier One with written covenants essentially identical to those provided by Producer to Tier One in this Section 4 and in Section 5.1.

4.2 Trademarks. Producer acknowledges that all rights in any trademarks associated with the business of Tier One (i.e., trademarks, trade names, service marks, slogans, logos, designs and other similar means of distinction), including all goodwill pertaining thereto (collectively, the "Trademarks"), shall be the sole property of Tier One. Producer may use and display such Trademarks only in the manner and for the purpose authorized by Tier One, and only during the term of this Agreement. Tier One reserves the right to add to, change or discontinue the use of any Trademark, on a selective or general basis, at any time. Producer shall not use any Trademark of Tier One in any corporate, partnership or business name without Tier One's prior written consent.

4.3 Return of Materials; Cessation of Use of Tier One Property. Upon the request of Tier One and, in any event, upon the termination of this Agreement, Producer shall deliver to Tier One all memoranda, notes, records, drawings, manuals, disks and other documents and media pertaining to Tier One's business or Producer's duties hereunder, including all copies, extracts, summaries and analyses thereof.

4.4 Protected Information. Producer agrees that all information personally identifiable to an Aflac insured or beneficiary, or about a potential insured that Producer receives from Aflac, the individual, the individual's employer or otherwise, shall be treated by Producer as Protected Information. "Protected Information" shall include, but not be limited to, the individual's name, address, age, date of birth, gender, family/marital status, Social Security number, e-mail address, health benefits information, salary information, financial information, health information and

medical records (including any information concerning the physical or mental health of the individual, health treatment or payment for any health treatment). Producer agrees to treat with strict confidentiality any Protected Information Producer receives from whatever source. This includes the following: Producer agrees that Producer will not use or disclose any Protected Information for any purpose other than the purpose for which Producer received the Protected Information or any other purpose expressly permitted by law, rule or regulation; Producer agrees that Producer will not further disclose any Protected Information, except as provided for herein, to any other party (other than those persons within Aflac authorized to receive the Protected Information) without the express written authorization to do so from the individual that is the subject of the Protected Information; Producer agrees that Producer will establish and have in place reasonable administrative, physical and technical safeguards to guard the Protected Information Producer receives; Producer agrees that Producer will abide by all relevant policies and procedures (including but not limited to any relevant guidelines) that Aflac may adopt with respect to the treatment of Protected Information and all such policies and procedures shall be deemed incorporated by reference into this Agreement (provided a copy has been provided to Producer); and Producer agrees that Producer will comply with all applicable state and federal laws, rules and regulations to the extent same apply to the Protected Information or any part of the Protected Information, including but not limited to the requirements of Title V of the Gramm-Leach-Bliley Act, Public Law 106-102, and any rules promulgated by the U.S. Department of Health and Human Services enforcing the privacy and security requirements of the Health Insurance Portability and Accountability Act of 1996, Public Law 104-191. Producer shall not, directly or indirectly, use, handle or further disclose any Protected Information other than as set forth in this Section. Any such unauthorized use of Protected Information shall be considered conduct prohibited by this Agreement.

5. Restricted Conduct.

5.1 Policy Replacement. During the term of this Agreement and for two years after this Agreement is terminated, and in the Territory (as defined in Section 5.3 below), Producer shall not induce, directly or indirectly, any policyholder of Tier One to reduce, terminate or replace his current level of coverage under any Policy in favor of any non-Tier One-sponsored policy. This restriction shall apply to all Tier One policyholders with whom Producer had direct or indirect contact while representing Tier One within the immediately preceding two years, and to each Tier One policyholder who received a Policy, the marketing or sale of which resulted in compensation, commissions or earnings for Producer within the immediately preceding two years.

5.2 Recruitment of Agents and Employees. During the term of this Agreement and for two years after this Agreement is terminated, Producer, either alone or in concert with others, either directly or indirectly, shall not induce any Tier One employee, agent or independent contractor to terminate his or its engagement with Tier One. Following termination of this Agreement, this restriction will apply only in the following combination of circumstances: (i) the person being approached was a general agent, broker general agent, producer, associate or employee in the Tier One sales force within the Territory within one year prior to the termination of this Agreement; and (ii) at the time Producer approaches such person, the person has been an agent or employee of Tier One for at least six months.

5.3 Definition of Territory. As used in this Agreement, "Territory" shall refer to the geographical areas set forth in all appointment certificates (or governing documents) issued to Producer by Tier One during the term of this Agreement and maintained in Tier One's office. The current versions of such certificates, for purposes of such determination, are hereby incorporated in this Agreement. Each certificate subsequently issued during the term of this Agreement shall automatically, upon its acceptance by Producer, supplement or supersede (depending on its coverage) the prior certificates and be incorporated in this Agreement for purposes of such determination. Acceptance may be indicated by Producer's written acknowledgment or deemed by Producer's actions in reliance on such certificate, including transfer in location or acceptance of fees or commissions relevant to such geographic location. Producer may positively indicate its nonacceptance of such certificate by so notifying Tier One in writing, in which case only the prior certificates shall remain in effect. Producer acknowledges that by agreeing to represent Tier One in such geographical areas pursuant to such appointment certificates, Producer is binding himself to comply with the covenants in this Section 5 in those areas. Producer acknowledges that this is the best and most practical description of the areas where Producer operates based on his actual marketing and compensation. Notwithstanding anything to the contrary herein, the term "Territory" shall not include any geographical areas where Producer has not represented Tier One at any time during the immediately preceding two years.

6. **Arbitration.** Except as set forth in Section 7 below, any claim, controversy or dispute arising between the parties with respect to this Agreement, including any alleged tort related to this Agreement or the activities associated with this Agreement, to the maximum extent allowed by applicable law and irrespective of the form of relief sought, shall be submitted to and resolved by arbitration. Such arbitration shall be the sole remedy with respect to such matter, and the parties agree that the arbitrators cannot award any punitive or exemplary damages or any damages other than compensatory. The arbitration shall be conducted in Atlanta, Georgia and shall be conducted pursuant to the terms of the Federal Arbitration Act and the Commercial Arbitration Rules of the American Arbitration Association, except as otherwise specified herein, including, without limitation, the exception that the arbitrators cannot award punitive or exemplary damages or any damages other than compensatory. Either party may notify the other party at any time of the existence of an arbitrable controversy by certified mail and shall attempt in good faith to resolve their differences within 15 days after the receipt of such notice. Notice to Producer shall be sent to Producer's principal business address pursuant to Section 10 below, and notice to Tier One shall be sent to: Arbitration Officer, Tier One Insurance Company, 1932 Wynnton Road, Columbus, Georgia 31999. If the dispute cannot be resolved within the 15-day period, either party may file a written demand for arbitration with the other party. The party filing such demand shall simultaneously specify its arbitrator, giving the name, address and telephone number of said arbitrator. The party receiving such notice shall notify the party demanding the arbitration of its arbitrator, giving the name, address and telephone number of the arbitrator within five days of the receipt of such demand. The arbitrators named by the respective parties need not be neutral. The American Arbitration Association, on request by either party, shall appoint a neutral person to serve as the third arbitrator, and shall also appoint an arbitrator for any party failing or refusing to name its arbitrator within the time specified in this Section 6. The arbitrators thus constituted shall promptly meet, select a chairperson, fix the time and place of the hearing, and notify the parties. To the extent practical, the arbitrators shall provide for the hearing to commence within 60 days after the arbitrators have been empaneled. The majority of the panel shall render an award within 10 days of the completion of the hearing, and shall promptly transmit an executed copy of the award to the respective parties. The award of the arbitrators shall be final, binding and conclusive upon the parties hereto. Each party shall have the right to have the award enforced by any court of competent jurisdiction.

7. **Injunction.** In the event of any breach by Producer of any covenant contained in Section 4 or 5 of this Agreement, the resulting injuries to Tier One would be difficult or impossible to estimate accurately, but it is certain that injury or damages will result to the business of Tier One. Producer therefore agrees that, in the event of any such breach, Tier One shall be entitled, in addition to any available legal or equitable remedies for damages, to an injunction to restrain the violation or anticipated violation thereof. Tier One's rights under this Section 7 shall be in addition to every other remedy (equitable, statutory, legal or contractual) to which Tier One may be entitled.

8. **Indemnity.** Producer shall indemnify Tier One fully for any cost, liability or harm (including, without limitation, attorneys' fees incurred in connection therewith or in connection with enforcing this indemnity) suffered by Tier One as a direct or indirect result of Producer's breach of any of the terms of this Agreement or nonfulfillment of any covenant or agreement of Producer made in or pursuant to this Agreement.

9. **Miscellaneous.** Except as provided in Section 2, no assignment of this Agreement by Producer or any commissions due under this Agreement shall be valid unless in writing and approved in advance by an authorized officer of Tier One. No modification or waiver of any term of this Agreement shall be binding on Tier One unless in writing and signed and approved by an authorized officer of Tier One. This Agreement is governed by the laws of the state in which Producer resides, as such laws apply to a contract made, delivered and performed in such state, notwithstanding the locale for performance or payment of any compensation, without giving effect to the principles of conflicts of law in such state. Except as expressly provided in Section, this Agreement supersedes and replaces any agreement previously entered into between Producer and Tier One with respect to Policies issued after the date of this Agreement. Tier One's failure to enforce any provision of this Agreement shall not constitute a waiver of any provision of this Agreement. The provisions of this Agreement shall be deemed severable. In the event any provision of this Agreement is determined to be unenforceable or invalid, such provision shall nonetheless be enforced to the fullest extent permitted by applicable law, and such determination shall not affect the validity and enforceability of any other remaining provisions of this Agreement. This Agreement, together with all schedules attached hereto and all writings incorporated herein by reference, constitute the entire agreement between Producer and Tier One with respect to the subject matter of this Agreement. The captions and headings in this Agreement are inserted for convenience of reference only and are not to be construed as part of this Agreement or limitations on the scope of this

Agreement. All pronouns used in this Agreement shall be deemed to refer to the masculine, feminine or neuter gender as the context requires.

10. Principal Address; Notices. Producer's principal address for purposes of this Agreement is the address provided below Producer's signature on this Agreement. Producer shall inform Tier One in writing of any changes in this address. With respect to any notice or materials that Tier One is required hereunder to provide to Producer, Tier One's evidence of such written notice or provision of materials shall be conclusive that Tier One provided such notice or materials.

SIGNATURES

BY PRODUCER:

Signature: _____ Date: _____

Print Name: _____

Address: _____

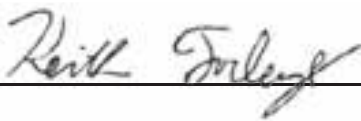
ACKNOWLEDGED BY RECRUITING GENERAL AGENT: (Signature required)

Signature: _____ Date: _____

Print Name: _____

Address: _____

TIER ONE INSURANCE COMPANY:

Signature:  _____

Printed Name: Keith Farley _____

Title: SVP, Individual Voluntary Benefits _____

Effective Date of Agreement: _____